

Hero MotoCorp Ltd

HEROMOTOCO | Latest fiscal period 2024-03

54.7
HEALTH · Average

ROE
21.1%

ROCE
31.6%

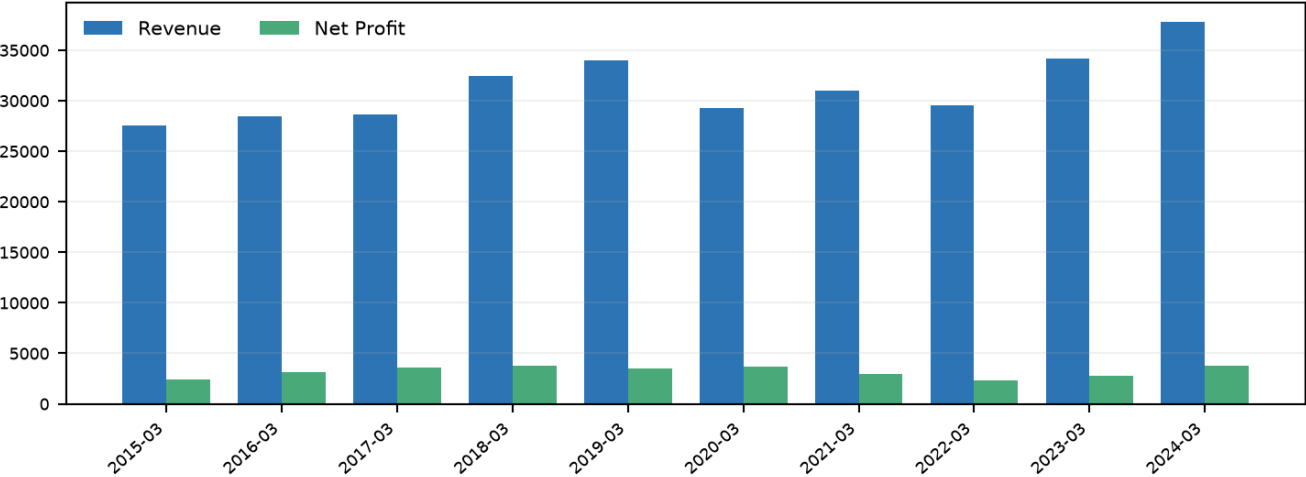
OPM
86.1%

DEBT / EQUITY
0.0x

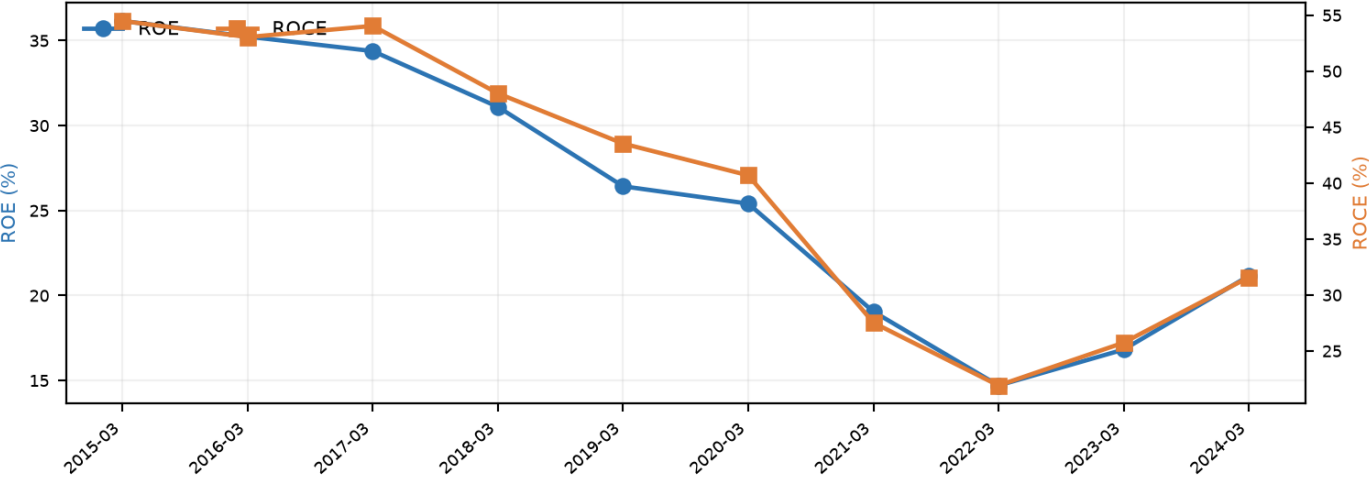
REVENUE CAGR 5Y
2.2%

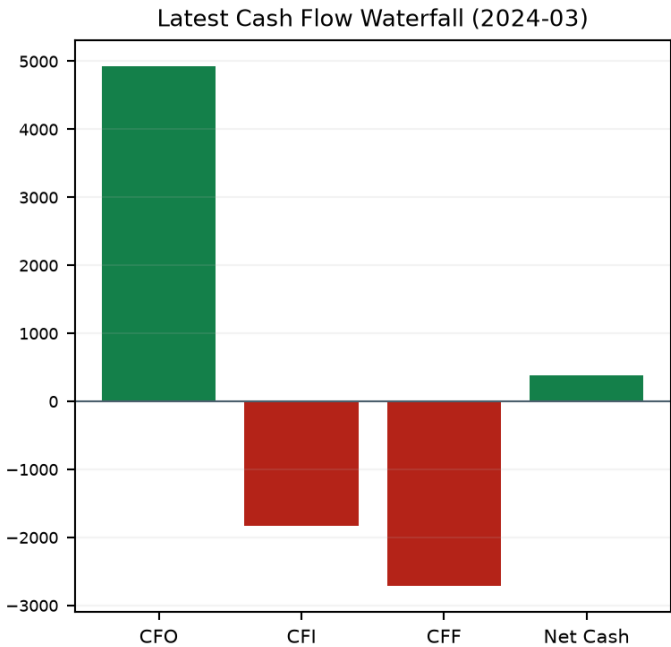
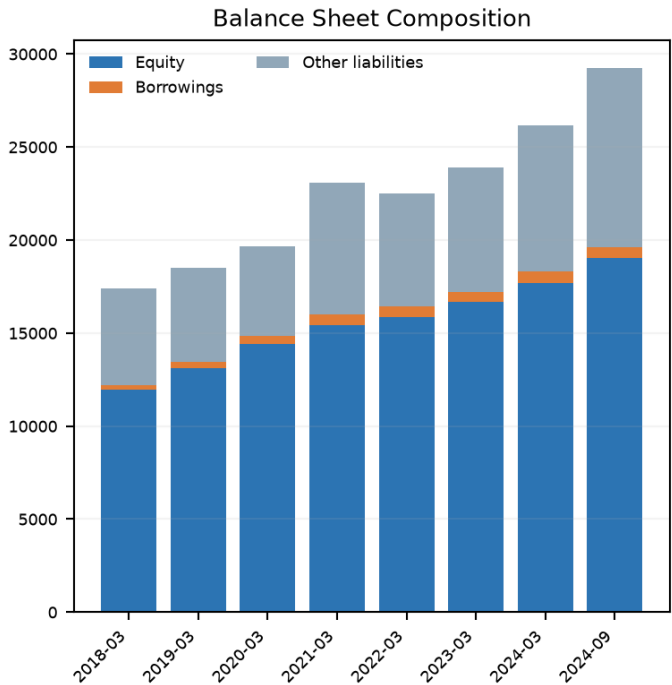
P/E
53.9x

10-Year Revenue and Net Profit (INR Crore)



ROE and ROCE Trend





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Strong free cash flow generation over 5 years signals healthy business fundamentals

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum